

Marketing Plan: ***MoneyFit***

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01

Product Overview

An App Downloadable by Everyone

Physical Activities

Walking, Running, Strength Training

Metrics

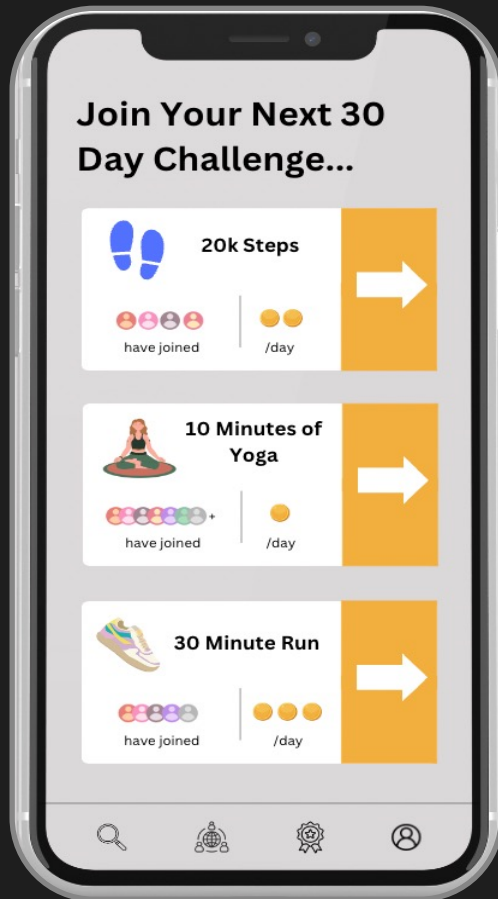
Points: Calories, Steps, Distance

Rewards

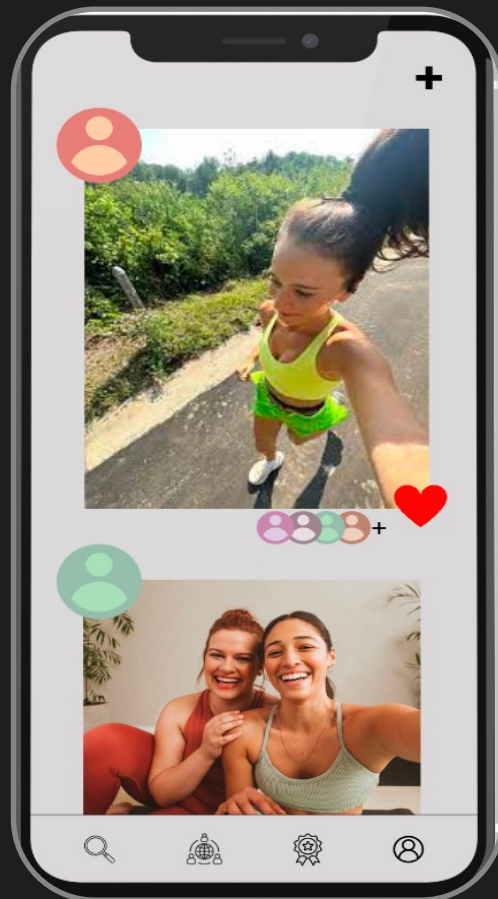
Coupons, Discounts, Gift Cards



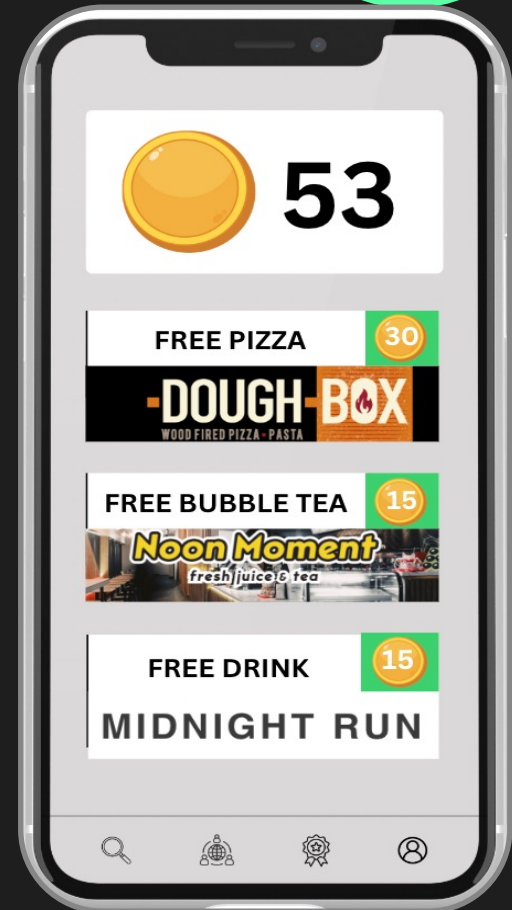
Exercise



Share



Redeem





02

Market & Environmental Analysis

Market Trend Analysis

Health Industry

- Publicly funded
- 12.2% of Canadian GDP spending



Fitness Industry

High demand for personalized solutions:

- Health tracking
- Workouts
- Stress management



Environmental Analysis



Economic

Market size is expected
to grow by US\$45.16
billion



Social

Growing social advocacy
for health and wellness



Technological

Increased use of mobile
apps & wearable devices
drive market growth



03

Competitive Analysis

Competitive Analysis



Fitbit

Free trial + \$9.99/month
13% fitness market share



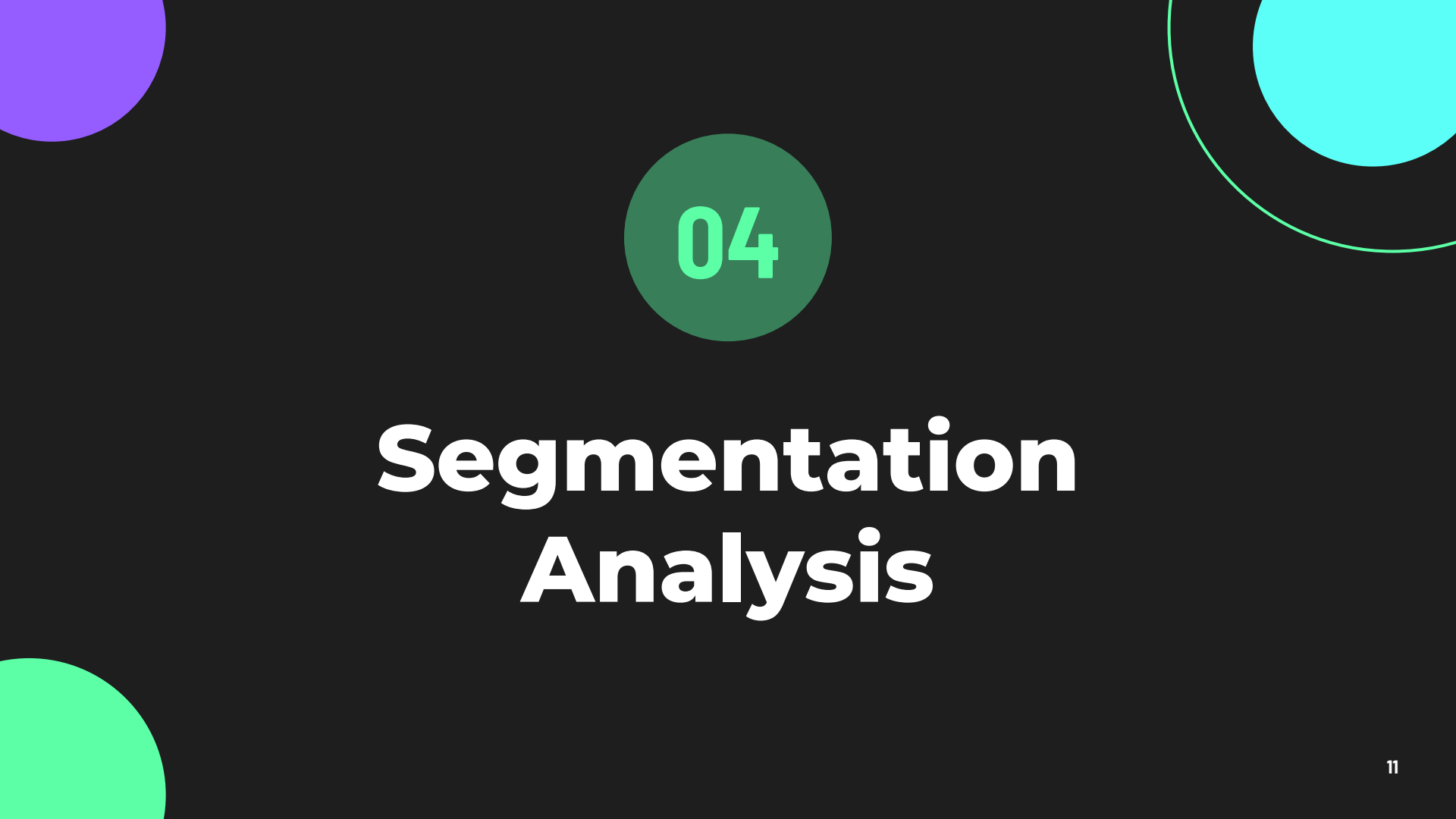
Charity Miles

Competitions with friends
Donates winnings to charity



Sweatcoin

Cryptocurrency rewards → PayPal cash
Maximum daily limit



04

Segmentation Analysis

Segmentation Analysis

University Students

Age 18-26
Digital Natives
6.4% of Ontario's population

47% of students use
fitness apps

64.3% of students meet
recommended
exercise levels



GenZ Buying Behavior

Fashion



Experiences



Technology



MoneyFit is tech-based but provides an experience and activity for the user to participate in and get out of the house to be active with friends





05

Marketing Mix

Marketing Mix

Price: \$5/month

Market penetration pricing

- Value
- Complements demographic
- Separates us from competition



Place

Pull strategy

- Need to want to subscribe
- Loyalty



Product

Customer value approach

- Monetary rewards
- Partnerships



Promotion

- Increase awareness
- Prompting trial
 - Referrals
 - Free trial



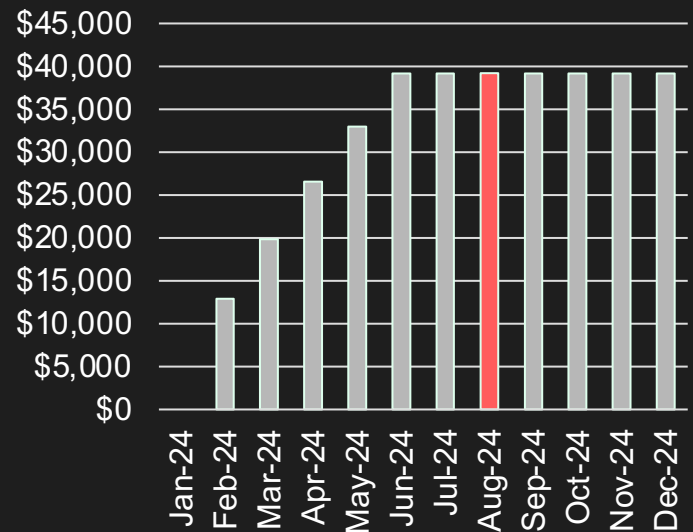


06

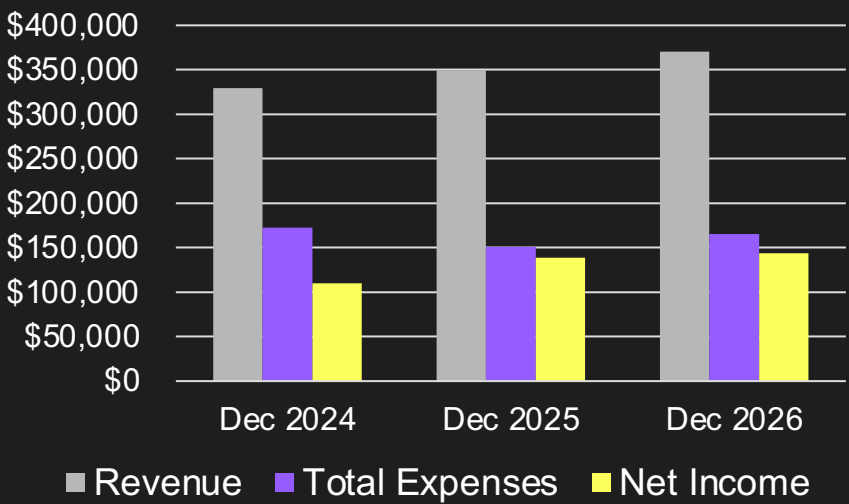
Financial Analysis

Financial Analysis

Year 1 Monthly Sales Forecast



3 Year Revenue, Expenses, Net Income



34,533

SUBSCRIPTIONS TO BREAKEVEN

\$392,364

CUMULATIVE 3-YR NET INCOME

6%

ANNUAL GROWTH RATE



Thanks for listening!

Do you have any **questions?**

Exhibit A – Target Market Metrics

Existing Targets	Characteristic	Characteristic Percent	Total Targets
TAM (Total Addressable Market)			
--	Waterloo & Laurier students	--	58166
SAM (Serviceable Addressable Market - Health Enthusiastic Students)			
58166	Students currently using fitness apps	47%	27338
58166	University students meeting recommended exercise level	64.3%	37401
--	Students currently using fitness app or are meeting recommended exercise level	--	27338 + (37401 - 27338) = 37401
SOM (Serviceable Obtainable Market in Months 1 & 2)			
27338	GenZ willing to switch to other brands	29%	7928
7928 + (37401 - 27338) = 17991	Successful conversion rate given marketing campaign & promotions	14.34%*	2580

*14.34% = average conversion rates of marketing promotions. See Exhibit A for conversion rate data.

Exhibit B – Detailed Sales Forecast

	Available Targets	Conversion Rate	Targets Converted	Existing Targets	Total Users	Subscription Price/Month	Total
Jan 2024	17991	14.34%	2580	--	2580	\$0	0
Feb 2024	--	--	--	2580	2580	\$5	\$12900
Mar 2024	37401-2580 = 34821	4%*	1393	2580	3973	\$5	\$19865
April 2024	34821 – 1393 = 33428	4%	1337	3973	5310	\$5	\$26550
May 2024	33428 – 1337 = 32291	4%	1291	5310	6601	\$5	\$33005
June 2024	32291 – 1291 = 31000	4%	1240	6601	7841	\$5	\$39205
Dec 2024	--	--	--	7841	7841	\$5	\$39205
Year Ended Dec 2024	--	--	--	--		\$5	\$329.555
Jan 2025	31000	4%	1240	7841 x 0.5* = 3920	5160	\$5	\$25800
Year Ended Dec 2025	--	6%*	--	--	--	\$5	\$349.328
Year Ended Dec 2026	--	6%	--	--	--	\$5	\$370.288

*4% conversation rate after month 2 is an average of all other marketing promotions conversation rates excluding the campaign [(3% + 2.35% + 7%)/3]

*50% of fitness app customers retained after nine months-1 year, according to Yahoo Finance

*After year 1, we can predict growth rate by sales -> mobile app usage growth rate is 6% annually according to Mind Inventory

Exhibit C – Promotion Budget Allocation

**Percentage of sales budget year 1: $\$329555 \times 20\% = \65911 advertising budget*

**Conversion rate data: 3% Paid influencer/student outreach and 6601prints/poster according to LinkedIn, 45% campaign & free trial according to Revenue Cat, 2.35% referral according to Voucherfy, 7% public relations/partner with local businesses according to Convince & Convert.*

Promotion Budget Allocation



- Free Trial & Campaign
- Print/Posters & Paid Influencer Outreach
- Referral Program
- Local Business Partnership

Promotion Type	Conversion Rate	Percent of Budget	Total Cost
Campaign & Free Trail	45%	50%	\$32,956
Print/Posters & Paid Outreach	3%	25%	\$16,478
Referral Program	2.35%	15%	\$9,887
Local Business Partnership	7%	10%	\$6,591

Exhibit D – Cost of Goods Sold Breakdown

Feature	IOS man hours	Android man hours	*Cost (hrs x avg cost)
UX/UI DESIGN COSTS			
UX design	100	100	\$14,000
DEVELOPMENT COSTS			
Sign In	7	7	\$980
Create Account	11	11	\$1,540
Workout/Challenge Menus	23	24	\$3,290
Activity Status	15	16	\$2,170
Integration with Third-Party Apps	15	15	\$2,100
Relevant Database	19	20	\$2,730
Goal Setting	7	7	\$980
Rewards	9	9	\$1,260
Social Media Integration	8	8	\$1,120
Health Consultant/Fitness Expert	\$50/hr x 40 hours	--	\$2000
Patent & Trademark	3,150 <u>patent</u> \$400 trademark	--	\$3550
TOTAL			\$35,720

*\$70/hour average for a mid-level developer and UX designer

Exhibit E – Income Statement

MoneyFit Income Statement For Years Ended December 31 2024, Decemeber 31 2025, December 31 2026			
	2024	2025	2026
Revenue			
Subscription Sales	\$ 329,555	\$ 349,328	\$ 370,288
Cost of Goods Sold	35720	0	0
Gross Profit	\$ 293,835	\$ 349,328	\$ 370,288
Operating Expenses			
Employee Wage	65000	75000	85000
Advertising Costs	65911	69866	74058
App Maintenance	6032	6032	6032
Total Operating Expenses	\$ 136,943	\$ 150,898	\$ 165,090
Income Before Taxes	156892	198431	205198
Income Tax Expense (30%)	47068	59529	61560
Net Income	<u>\$ 109,824</u>	<u>\$ 138,901</u>	<u>\$ 143,639</u>

Exhibit F – SWOT Analysis

Strengths

- Targets the tech savvy gen Z and Millennials allowing for quick and easy adaptation/navigation of the app
- Large university student population in Uptown Waterloo (target location)
- Target location provides many trails (I.e., opportunities for people to exercise)
- Target market has less disposable income forcing them to look for ways to save money
- Partnered business share same target demographic we do and can complement that with advertising (posters, scannable barcodes, etc.) for our app as we advertise their products and services

Opportunities

- High obesity rates force consumers to look for fun and rewarding ways to prevent the condition
- COVID19 spotlighted fitness and more importantly, the value of technology in creating connection between one another
- Body positivity movement supports the firms main objectives
- Target market prioritizes fashion and experience. Both are industries that this app can break into
- Eventual growth of the app would allow the firm to expand its business partnerships outside of Uptown Waterloo with little resources required to reach past this target location

Weaknesses

- Target market has less disposable income to spend on local restaurants
- Dependent on partnerships in the area
- Costly to keep app running and adding features
- Localized to Waterloo area as rewards can only be redeemed here for now
- Little brand recognition for partnerships and own firm

Threats

- Competitors such as Sweat Coin and Fitbit have acquired decent market shares
- Possible negative perception of encouraging spending money on alcohol and food
- Potential partnerships between apps such as apple fitness and the apple watch that would prevent us from taking advantage of wearable proprietary technologies
- New technologies that can enter the industry that surpass the connectivity of the app
- Harsh economic conditions (high cost of living)